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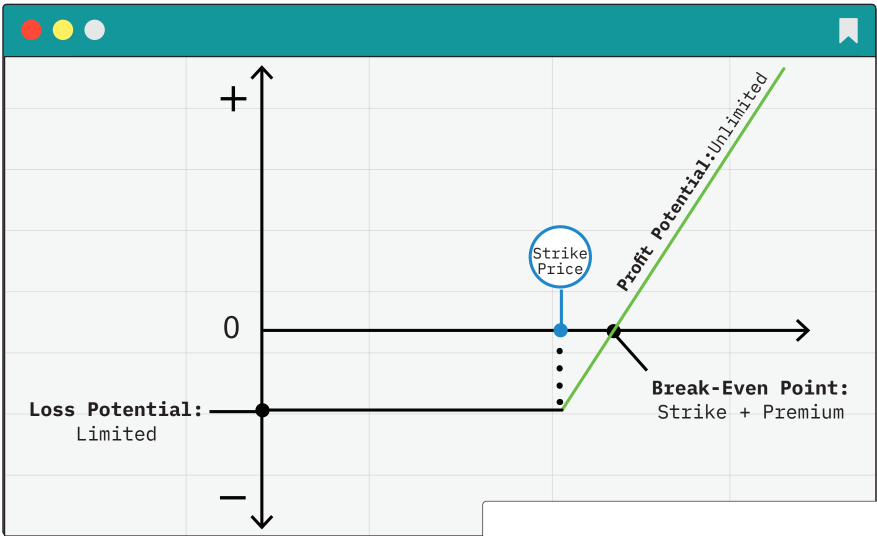
UNDERSTANDING OPTIONS BUYING

Option buying refers to the purchase of a call or a put option. Another term that traders use is "going long". Traders purchase these contracts in order to speculate on the direction of an underlying asset which the option contract is covering.

"I am going long on Nifty 50 today!"

Call option contracts give its buyer the right to purchase the asset at the strike price before expiry while put option contracts give its buyer the right to sell the asset at the strike price before expiry. The prime advantage of option buying is the built-in leverage from controlling a large position by paying a smaller premium.



The profit potential in option buying is unlimited, while the maximum loss is limited to the premium paid.